UNITED STATES BANKRUPTCY COURT

EASTERN DISTRICT OF NORTH CAROLINA

NEW BERN DIVISION

JSMITH CIVIL, LLC DEBTOR. JSMITH CIVIL, LLC Plaintiff, SECOND WIND CONSULTANTS, INC. Defendant.	Case No. 23-02734-5-JNC Chapter 11 Adversary Proceeding No. 25-_____-5-JNC

COMPLAINT

NOW COMES Debtor-Plaintiff JSMITH CIVIL, LLC ("Debtor," "Plaintiff," or "JSC"), by and through undersigned counsel of record, and complaining of Defendant SECOND WIND CONSULTANTS, INC. ("Defendant" or "SWC"), and hereby alleges and asserts as follows:

INTRODUCTION AND NATURE OF ACTION

1. This is an action by the Debtor, against Defendant, seeking the following:

A. Avoidance and recovery of payments and transfers from the Debtor totaling $287,000.00, as constructively fraudulent transfers pursuant to §§ 544, 547(b), 548 and 550 of the Bankruptcy Code and the Uniform Voidable Transactions Act, N.C. Gen. Stat. § 39-23.1, et seq. (the "UVTA").

B. Turnover and recovery of the sum of at least $247,000.00, as "property of the estate" pursuant to § 542 of the Bankruptcy Code; and

C. Actual, compensatory, and treble damages, and reasonable attorneys' fees, costs, and expenses for fraud, conversion, trespass to chattels, negligent misrepresentation, and

violations of the North Carolina Unfair and Deceptive Trade Practices Act, N.C. Gen. Stat. § 75-1.1, et seq. (the "UDTPA").

JURISDICTION AND AUTHORITY

2. This Court has jurisdiction over this matter pursuant to 28 U.S.C. §§ 151, 157, and 1334. This matter and the relief requested herein is a "core proceeding," as that term is defined under 28 U.S.C. § 157(b)(2), because it arises under title 11 of the United States Code, arises in connection with the above-captioned chapter 11 bankruptcy proceeding, see id. §§ 157(b)(2)(A) & 157(b)(2)(C).

3. Pursuant to Budget Service Co. v. Better Homes of Va., 804 F.2d 289 (4th Cir. 1986), this Court has jurisdiction to enter a final and dispositive Order in this matter however, and to the extent the Court finds any of the claims for relief asserted herein to be non-core proceedings, the Debtor consents to entry of a final Order in this matter in accordance with 28 U.S.C. § 157(c)(2).

4. This Court, likewise, has authority to hear this matter pursuant to the General Order of Reference entered by the United States District Court for the Eastern District of North Carolina on August 3, 1984.

5. Venue is proper in this Court pursuant to 28 U.S.C. §§ 1391, 1408 and 1409, as all of the actions complained of and giving rise to the claims alleged herein arose in this judicial district, within which the Debtor is present, regularly conducts its business operations and affairs.

6. This Court has jurisdiction over this matter pursuant to 28 U.S.C. §§ 1334, 151, and 157, as it arises in and concerns matters affecting the administration of bankruptcy estate in the above-captioned case, see id. § 157(b)(2)(A), seeks an Order requiring turnover property of the estate under § 542 of the Bankruptcy Code, see id. § 157(b)(2)(E), and concerns rights available, duly established, under the provisions of the Bankruptcy Code.

7. The relief sought herein is a core proceeding, as that term is defined under 28 U.S.C. § 157(b)(2), as it arises in the administration of the above-captioned chapter 11 bankruptcy proceeding.

8. Likewise, the Court has jurisdiction over this matter pursuant to the General Order of Reference entered by the United States District Court for the Eastern District of North Carolina on August 3, 1984.

IDENTIFICATION OF THE PARTIES

9. The Debtor, a North Carolina limited liability company maintaining a principal place of business in Goldsboro, North Carolina, filed a voluntary petition seeking relief under chapter 11 of the Bankruptcy Code on September 19, 2023 (the "Petition Date"), BK Case No. 23-02437-5-JNC (the "Bankruptcy Case").

10. In the Bankruptcy Case, the Debtor filed Official Form 206Sum entitled "Summary of Your Assets and Liabilities and Certain Statistical Information" along with the Schedules and Statement of Financial Affairs [D.E. 68], which revealed that on the Petition Date, the Debtor was insolvent based upon the following:

Total Assets	$8,889,428.15
Total Liabilities	$33,461,594.69

11. The Debtor's liabilities ($33,461,594.69) exceeded the value of its assets and property ($8,889,428.15), by at least $24,572,166.54, as of the Petition Date.

12. Defendant is a corporation formed and existing under the laws of the Commonwealth of Massachusetts, which maintains a principal place of business at 136 West Street, Northampton, Massachusetts 01060.

13. Defendant advertises and markets itself as a turnaround consulting company, purporting to assist businesses and their owners across the United States of America with non-bankruptcy workouts, resolutions, and restructurings of existing debts and liabilities.

14. Upon information and belief, and to achieve a non-bankruptcy resolution and restructuring of business and personal debts, Defendant advises, assists, and actively participates in the unilateral and unauthorized transfer of encumbered assets and property to newly-formed and debt-free entities through a "sham" sale purportedly conducted under Article 9 of the Uniform Commercial Code.

15. The registered agent of Defendant, accepting service of process at 47 Pleasant Street, Northampton, Massachusetts 01060, is Aaron Samuel Todrin.

16. The corporate officers of Defendant are as follows:

Name of Officer	Position / Title
Aaron Samuel Todrin	President
Aaron Samuel Todrin	Treasurer
Aaron Samuel Todrin	Secretary
Adam Duso	Chief Executive Officer
Aaron Samuel Todrin	Director

FACTUAL ALLEGATIONS

17. The Debtor, at all times relevant hereunder, was and remains a diversified heavy civil construction company that provides commercial contracting and site preparation services to projects across the State of North Carolina.

18. At the height of the Debtor's business operations in 2021, the Debtor had over 200 employees and generated gross annual revenues in excess of $55,000,000.00.

19. Due to unforeseen circumstances, including disputes preventing collection of outstanding accounts receivable for bonded and non-bonded projects in the calendar years ending 2022 and 2023, temporary suspension of its business operations due to COVID-19, and significant and continuing delays in major construction projects, the Debtor began to experience significant financial problems as a result of its inability to pay its operating expenses associated with its ongoing and long-term commercial construction projects throughout the State of North Carolina, as well as the payment obligations to its governmental and non-governmental creditors, vendors, and suppliers.

20. The Debtor's dire financial condition, and continuing insolvency and negative cash flow impacted its ability to perform and/complete the construction services and furnish materials required for its various commercial construction projects.

21. The Debtor, in need of assistance and evaluating its options for a restructuring and resolution of the financial problems that it was experiencing, contacted and retained the services of Defendant to develop and implement a non-bankruptcy plan that would reduce, eliminate,

and/or restructure the Debtor's overwhelming secured and unsecured indebtedness owed to its creditors.

22. Prior to the Petition Date, and to formalize the engagement, the Debtor and Defendant entered into a Business Consulting Agreement dated March 17, 2023 (the "SWC Consulting Agreement"), whereunder and in exchange for payment of the sum of $300,000.00 (the "Contract Amount"). A copy of the SWC Consulting Agreement is attached hereto as EXHIBIT 1 and incorporated herein by reference.

23. Per the terms of the SWC Consulting Agreement, the Contract Amount was payable in fifteen (15) monthly installments of $20,000.00 and, in exchange for which, Defendant was to provide financial and non-bankruptcy turnaround services with the goal of resolving the outstanding financial defaults and obligations of the Debtor.

24. Under the SWC Consulting Agreement, Defendant was engaged to contact, communicate, negotiate, eliminate, settle, or otherwise resolve the Debtor's outstanding indebtedness, obligations, and liabilities owed to its creditors totaling in excess of $21,755,140.00.

25. Section 9 of the SWC Consulting Agreement provided as follows:

> Termination by SWC. SWC may terminate this Agreement if Client breaches any of the terms of the Agreement contained herein. Breaches include, but are not limited to the following:
>
> a) Client fails to make payments set forth in the Fee Schedule;
>
> b) Client misrepresents or fails to disclose any material facts relating to the Program; or fails to fully disclose all financial information requested by SWC; or
>
> c) Client in any way prevents SWC from doing its job, or client fails to adhere to SWC's strategies.
>
> Any and all monies paid to SWC will be treated as compensation for work completed and will not be refundable. In the event this Agreement is terminated after the Triggering Points, as defined below, the full fee described in this Agreement becomes due, payable, and enforceable.

26. The primary points of contact with Defendant were the following:

Name	Title/Position
Jared Nugent (“Nugent”)	Director of Counseling
Jeff Chaisson (“Chaisson”)	Senior Case Manager

27. Upon information and belief, neither Nugent nor Chaisson are attorneys, licensed to practice law in any state or commonwealth in the United States of America, including but not limited to the State of North Carolina.

28. The Debtor, prior to the Petition Date, remitted payments to Defendant totaling $287,000.00, which are summarized as follows:

Source of Payment/ Transfer	Transfer Date	Type of Transfer	Transferee	Transfer Amount
American Express Bank	3/17/2023	ACH	Second Wind Consultants, Inc.	$20,000.00
Wells Fargo Bank, N.A. Acct No. ***4844	4/28/2023	Wire Transfer	Second Wind Consultants, Inc.	$20,000.00
Applied Bank Account No. **7552	5/9/2023	Wire Transfer	Second Wind Consultants, Inc.	$247,000.00

(collectively, the “Transfers”).

[Paragraphs 29 through 56 (pages 8 to 13 of the filing) are omitted from this transcription.]

29. Defendant, notwithstanding its duties, obligations, and responsibilities under the SWC Consulting Agreement, did not communicate with, negotiate, eliminate, or otherwise resolve any of the Debtor’s outstanding liabilities, debts, and obligations owed to various creditors.

30. Post-petition, and through counsel, the Debtor demanded turnover of, inter alia, a portion of the Transfers that were made to Defendant, specifically, the sum of $247,000.00 that comprised the May 2023 Payment (the “Turnover Demand Letter”). A copy of the Turnover Demand Letter is attached hereto as EXHIBIT 4 and incorporated herein by reference.

31. The Turnover Demand Letter was not returned as undeliverable or unclaimed.

32. Despite receiving the Turnover Demand Letter, including the notification that retention of the May 2023 Payment constituted an unauthorized exercise of dominion and control over

property of the estate under § 362(a)(3) of the Bankruptcy Code in violation of the automatic stay, Defendant has not returned or refunded any portion of the May 2023 Payment to the Debtor.

FIRST CLAIM FOR RELIEF

Turnover of Property of the Estate

[11 U.S.C. § 542]

33. The Debtor incorporates herein by reference all allegations in this Complaint as if fully set forth herein.

34. Section 542(a) provides, in pertinent part, as follows:

> [A]n entity, other than a custodian in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate.

35. 11 U.S.C. § 542(a); see In re Challenge Air Int'l, Inc., 952 F.2d 384, 386 (11th Cir. 1992). Section 363 of the Bankruptcy Code, in turn, provides that "[t]he trustee, after notice and a hearing, may use, sell, or lease, other than in the ordinary course of business, property of the estate[] . . . ." Id. § 363(b)(1); see In re Pyatt, 486 F.3d 423, 427 (8th Cir. 2007).

[Paragraphs 64 through 74 of the First Claim and pages 15 to 35 (the Second through Seventh Claims for Relief) are omitted from this transcription.]

PRAYER FOR RELIEF

WHEREFORE, and based upon the foregoing, the Debtor prays for the following relief:

1. Have and recover judgment against Defendant avoiding the Transfers made by the Debtor to Defendant totaling $287,000.00, as constructively fraudulent pursuant to §§ 544 and 548 of the Bankruptcy Code and the UVTA;
2. Have and recover judgment against Defendant: (a) Concluding that the sum of $247,000.00, comprising the payment and transfer made to Defendant on May 9, 2023, is "property of the estate" within the meaning of § 541 of the Bankruptcy Code, and shall be turned over to the Debtor in accordance with § 542(a) of the Bankruptcy Code; and (b) Requiring and

compelling Defendant turnover the sum of $287,000.00 or in such other amount as determined by the Court, pursuant to § 550 of the Bankruptcy Code, together with interest accruing at the maximum legal rate until paid;

3. Have and recover judgment against Defendant consisting of actual and compensatory damages in an amount exceeding the sum of SEVENTY-FIVE THOUSAND DOLLARS ($75,000.00), together with interest accruing at the maximum rate allowed under applicable state and federal law;
4. Have and recover judgment against Defendant, and on account of its violations of the UDTPA, consisting of actual and compensatory damages exceeding the sum of SEVENTY-FIVE THOUSAND DOLLARS ($75,000.00), trebled pursuant to N.C. Gen. Stat. § 75-16, and together with interest accruing at the maximum rate allowed under applicable state and federal law;
5. Have and recover judgment against Defendant, awarding the reasonable attorneys' fees, costs, and expenses incurred by the Debtor pursuant to N.C. Gen. Stat. § 75-16.1, in an amount to be determined by the Court during the course of the above-captioned adversary proceeding;
6. Have and recover judgment against Defendant, disallowing any claim, indebtedness, or other obligation purportedly due and owing to Defendant and arising prior to the Petition Date, including that which was scheduled and identified as the Disputed SWC Claim, or arising from the SWC Consulting Agreement, pursuant to § 502 of the Bankruptcy Code and Fed. R. Bankr. P. 3003(c)(2);
7. Taxing the costs of this adversary proceeding against Defendant;
8. Affording the Debtor a trial by jury on all issues so triable; and
9. Awarding the Debtor such further relief as the court may deem just and proper.

Respectfully submitted this, the 11th day of September, 2025.

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